FREE CHECKLIST

Investing in Germany as an Expat: The Checklist

The hurdles, the German tax basics and the questions to ask before you invest. Figures for 2026, status October 2026.

The 7 expat hurdles: tick them off first

- [ ] **1 Paperwork.** German address (**Anmeldung**), tax ID (**Steuer-ID**, the letter can take a few weeks) and a German bank account.
- [ ] **2 Your home country.** Accounts, pensions and investments back home stay. Look up its rules for foreign accounts and foreign funds.
- [ ] **3 Two tax systems.** A tax treaty usually decides who taxes what. Dividends can have tax withheld at the source. Keep your statements.
- [ ] **4 The products.** Funds sold to retail investors in Germany are mostly **UCITS** funds with a Key Information Document (KID). Your home fund may not be offered.
- [ ] **5 The advice.** Many bank advisers earn commission (**Provision**). Ask a fee only adviser (**Honorarberater**) and get the total yearly cost in percent, in writing.
- [ ] **6 Moving.** An address change can restrict or close your account. Tell your broker before you move.
- [ ] **7 Language and pensions.** Do not sign what you do not understand. Check if your German pension can follow you home.

German tax basics for investors (2026)

Flat tax (*Abgeltungsteuer*)	**25%** + solidarity surcharge = **26.375%**. Church tax (8% or 9% of the tax) on top if you pay it.
Allowance (*Sparer-Pauschbetrag*)	**€1,000** single, **€2,000** couples filing together a year. Give your broker a *Freistellungsauftrag*.
Partial exemption (*Teilfreistellung*)	**30%** of gains tax free for many stock funds.
Advance tax (*Vorabpauschale*)	Base rate 2026: **3.20%**, on accumulating funds, due even if you sold nothing.

5 questions for any broker

1. Do you accept clients with my nationality and my German address?
2. Which funds can I buy?
3. Do you give tax reports I can also use for my home country?
4. What are all the fees?
5. What happens to my account if I move?

For Americans: the 3 extra traps

- [ ] **1 The broker says no (FATCA).** Many foreign firms decline US persons (citizens, green card holders, substantial presence test). Trade Republic states it. Ask each broker, the list changes.
- [ ] **2 The fund is blocked (PRIIPs / KID).** Most US listed ETFs have no KID, so many EU brokers will not sell them to EU residents.
- [ ] **3 The IRS penalty (PFIC).** Most European funds are PFICs for US tax: Form 8621 per fund, per year, and harsh default rules. QEF or mark to market elections can help, with paperwork and deadlines.
- [ ] **Reporting:** FBAR if foreign accounts together exceed **$10,000** at any time in the year. Form 8938 from **$200,000** (single, living abroad, last day of the year).

A US domiciled index fund is not a PFIC, but your German broker may not be allowed to sell it to you. Plan the order: broker first, product second, paperwork third.

5 questions for your tax adviser

1. How will my home country tax the funds I plan to buy?
2. Does the tax treaty cover dividends and gains on these funds?
3. Which forms must I file for foreign accounts and funds?
4. What does this setup cost me in total per year?
5. What changes if I move?

What to do this week

- [ ] List every account you have, in Germany and back home, with balances.
- [ ] Ask your broker if they accept you.
- [ ] Book one hour with an adviser who knows both countries.
- [ ] Start with an emergency fund (**Tagesgeld**), then pick one simple plan and automate it.
- [ ] Watch the full video on YouTube: @justinvsgermany

General information only, not tax, legal or investment advice. Figures for 2026, status October 2026. Rules, rates, thresholds and broker policies change, so check each one before you act. For your own situation, ask a Steuerberater and, if your home country taxes you, a cross border adviser. Sources include the Deutsches Aktieninstitut, broker support pages and published tax guidance. © 2026 The Price of Germany, thepriceofgermany.com